

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

(Mark One)

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended September 28, 2024

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from _____ to _____.

Commission File Number: 001-36743



Apple Inc.

(Exact name of Registrant as specified in its charter)

California

(State or other jurisdiction
of incorporation or organization)

One Apple Park Way
Cupertino, California

(Address of principal executive offices)

94-2404110

(I.R.S. Employer Identification No.)

95014

(Zip Code)

(408) 996-1010

(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol(s)	Name of each exchange on which registered
Common Stock, \$0.00001 par value per share	AAPL	The Nasdaq Stock Market LLC
0.000% Notes due 2025	—	The Nasdaq Stock Market LLC
0.875% Notes due 2025	—	The Nasdaq Stock Market LLC
1.625% Notes due 2026	—	The Nasdaq Stock Market LLC
2.000% Notes due 2027	—	The Nasdaq Stock Market LLC
1.375% Notes due 2029	—	The Nasdaq Stock Market LLC
3.050% Notes due 2029	—	The Nasdaq Stock Market LLC
0.500% Notes due 2031	—	The Nasdaq Stock Market LLC
3.600% Notes due 2042	—	The Nasdaq Stock Market LLC

Securities registered pursuant to Section 12(g) of the Act: None

Indicate by check mark if the Registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act.

Yes ☒ No ☐

Indicate by check mark if the Registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act.

Yes ☐ No ☒

Indicate by check mark whether the Registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the Registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes ☒ No ☐

Indicate by check mark whether the Registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the Registrant was required to submit such files).

Yes ☒ No ☐

Indicate by check mark whether the Registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the Registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the Registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐

Indicate by check mark whether the Registrant is a shell company (as defined in Rule 12b-2 of the Act).

Yes ☐ No ☒

The aggregate market value of the voting and non-voting stock held by non-affiliates of the Registrant, as of March 29, 2024, the last business day of the Registrant's most recently completed second fiscal quarter, was approximately \$2,628,553,000,000. Solely for purposes of this disclosure, shares of common stock held by executive officers and directors of the Registrant as of such date have been excluded because such persons may be deemed to be affiliates. This determination of executive officers and directors as affiliates is not necessarily a conclusive determination for any other purposes.

15,115,823,000 shares of common stock were issued and outstanding as of October 18, 2024.

DOCUMENTS INCORPORATED BY REFERENCE

Portions of the Registrant's definitive proxy statement relating to its 2025 annual meeting of shareholders are incorporated by reference into Part III of this Annual Report on Form 10-K where indicated. The Registrant's definitive proxy statement will be filed with the U.S. Securities and Exchange Commission within 120 days after the end of the fiscal year to which this report relates.

Apple Inc.
Form 10-K
For the Fiscal Year Ended September 28, 2024
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This Annual Report on Form 10-K ("Form 10-K") contains forward-looking statements, within the meaning of the Private Securities Litigation Reform Act of 1995, that involve risks and uncertainties. Many of the forward-looking statements are located in Part I, Item 1 of this Form 10-K under the heading "Business" and Part II, Item 7 of this Form 10-K under the heading "Management's Discussion and Analysis of Financial Condition and Results of Operations." Forward-looking statements provide current expectations of future events based on certain assumptions and include any statement that does not directly relate to any historical or current fact. For example, statements in this Form 10-K regarding the potential future impact of macroeconomic conditions on the Company's business and results of operations are forward-looking statements. Forward-looking statements can also be identified by words such as "future," "anticipates," "believes," "estimates," "expects," "intends," "plans," "predicts," "will," "would," "could," "can," "may," and similar terms. Forward-looking statements are not guarantees of future performance and the Company's actual results may differ significantly from the results discussed in the forward-looking statements. Factors that might cause such differences include, but are not limited to, those discussed in Part I, Item 1A of this Form 10-K under the heading "Risk Factors." The Company assumes no obligation to revise or update any forward-looking statements for any reason, except as required by law.

Unless otherwise stated, all information presented herein is based on the Company's fiscal calendar, and references to particular years, quarters, months or periods refer to the Company's fiscal years ended in September and the associated quarters, months and periods of those fiscal years. Each of the terms the "Company" and "Apple" as used herein refers collectively to Apple Inc. and its wholly owned subsidiaries, unless otherwise stated.

PART I

Item 1. Business

Company Background

The Company designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September.

Products

iPhone

iPhone® is the Company's line of smartphones based on its iOS operating system. The iPhone line includes iPhone 16 Pro, iPhone 16, iPhone 15, iPhone 14 and iPhone SE®.

Mac

Mac® is the Company's line of personal computers based on its macOS® operating system. The Mac line includes laptops MacBook Air® and MacBook Pro®, as well as desktops iMac®, Mac mini®, Mac Studio® and Mac Pro®.

iPad

iPad® is the Company's line of multipurpose tablets based on its iPadOS® operating system. The iPad line includes iPad Pro®, iPad Air®, iPad and iPad mini®.

Wearables, Home and Accessories

Wearables includes smartwatches, wireless headphones and spatial computers. The Company's line of smartwatches, based on its watchOS® operating system, includes Apple Watch Ultra® 2, Apple Watch® Series 10 and Apple Watch SE®. The Company's line of wireless headphones includes AirPods®, AirPods Pro®, AirPods Max® and Beats® products. Apple Vision Pro™ is the Company's first spatial computer based on its visionOS™ operating system.

Home includes Apple TV®, the Company's media streaming and gaming device based on its tvOS® operating system, and HomePod® and HomePod mini®, high-fidelity wireless smart speakers.

Accessories includes Apple-branded and third-party accessories.

Services

Advertising

The Company's advertising services include third-party licensing arrangements and the Company's own advertising platforms.

AppleCare

The Company offers a portfolio of fee-based service and support products under the AppleCare® brand. The offerings provide priority access to Apple technical support, access to the global Apple authorized service network for repair and replacement services, and in many cases additional coverage for instances of accidental damage or theft and loss, depending on the country and type of product.

Cloud Services

The Company's cloud services store and keep customers' content up-to-date and available across multiple Apple devices and Windows personal computers.

Digital Content

The Company operates various platforms, including the App Store®, that allow customers to discover and download applications and digital content, such as books, music, video, games and podcasts.

The Company also offers digital content through subscription-based services, including Apple Arcade®, a game subscription service; Apple Fitness+SM, a personalized fitness service; Apple Music®, which offers users a curated listening experience with on-demand radio stations; Apple News+®, a subscription news and magazine service; and Apple TV+®, which offers exclusive original content and live sports.

Payment Services

The Company offers payment services, including Apple Card®, a co-branded credit card, and Apple Pay®, a cashless payment service.

Segments

The Company manages its business primarily on a geographic basis. The Company's reportable segments consist of the Americas, Europe, Greater China, Japan and Rest of Asia Pacific. Americas includes both North and South America. Europe includes European countries, as well as India, the Middle East and Africa. Greater China includes China mainland, Hong Kong and Taiwan. Rest of Asia Pacific includes Australia and those Asian countries not included in the Company's other reportable segments. Although the reportable segments provide similar hardware and software products and similar services, each one is managed separately to better align with the location of the Company's customers and distribution partners and the unique market dynamics of each geographic region.

Markets and Distribution

The Company's customers are primarily in the consumer, small and mid-sized business, education, enterprise and government markets. The Company sells its products and resells third-party products in most of its major markets directly to customers through its retail and online stores and its direct sales force. The Company also employs a variety of indirect distribution channels, such as third-party cellular network carriers, wholesalers, retailers and resellers. During 2024, the Company's net sales through its direct and indirect distribution channels accounted for 38% and 62%, respectively, of total net sales.

Competition

The markets for the Company's products and services are highly competitive, and are characterized by aggressive price competition and resulting downward pressure on gross margins, frequent introduction of new products and services, short product life cycles, evolving industry standards, continual improvement in product price and performance characteristics, rapid adoption of technological advancements by competitors, and price sensitivity on the part of consumers and businesses. Many of the Company's competitors seek to compete primarily through aggressive pricing and very low cost structures, and by imitating the Company's products and infringing on its intellectual property.

PART II

Item 5. Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

The Company’s common stock is traded on The Nasdaq Stock Market LLC under the symbol AAPL.

Holders

As of October 18, 2024, there were 23,301 shareholders of record.

Purchases of Equity Securities by the Issuer and Affiliated Purchasers

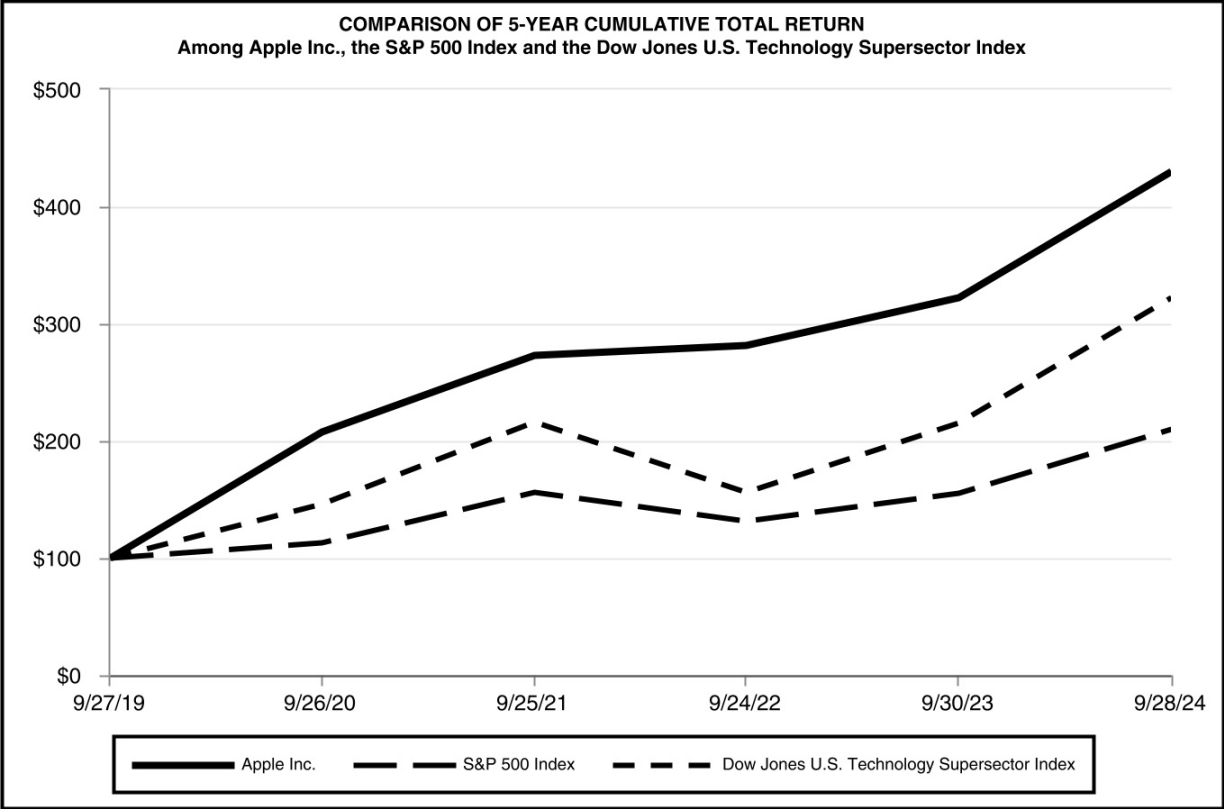
Share repurchase activity during the three months ended September 28, 2024 was as follows (in millions, except number of shares, which are reflected in thousands, and per-share amounts):

Periods	Total Number of Shares Purchased	Average Price Paid Per Share	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs	Approximate Dollar Value of Shares That May Yet Be Purchased Under the Plans or Programs ⁽¹⁾
June 30, 2024 to August 3, 2024:				
Open market and privately negotiated purchases	35,697	\$ 224.11	35,697	
August 4, 2024 to August 31, 2024:				
Open market and privately negotiated purchases	42,910	\$ 221.39	42,910	
September 1, 2024 to September 28, 2024:				
Open market and privately negotiated purchases	33,653	\$ 222.86	33,653	
Total	112,260			\$ 89,074

(1) As of September 28, 2024, the Company was authorized by the Board to purchase up to \$110 billion of the Company’s common stock under a share repurchase program announced on May 2, 2024, of which \$20.9 billion had been utilized. During the fourth quarter of 2024, the Company also utilized the final \$4.1 billion under its previous repurchase program, which was authorized in May 2023. The programs do not obligate the Company to acquire a minimum amount of shares. Under the programs, shares may be repurchased in privately negotiated or open market transactions, including under plans complying with Rule 10b5-1 under the Exchange Act.

Company Stock Performance

The following graph shows a comparison of five-year cumulative total shareholder return, calculated on a dividend-reinvested basis, for the Company, the S&P 500 Index and the Dow Jones U.S. Technology Supersector Index. The graph assumes \$100 was invested in each of the Company's common stock, the S&P 500 Index and the Dow Jones U.S. Technology Supersector Index as of the market close on September 27, 2019. Past stock price performance is not necessarily indicative of future stock price performance.



	September 2019	September 2020	September 2021	September 2022	September 2023	September 2024
Apple Inc.	\$ 100	\$ 207	\$ 273	\$ 281	\$ 322	\$ 430
S&P 500 Index	\$ 100	\$ 113	\$ 156	\$ 131	\$ 155	\$ 210
Dow Jones U.S. Technology Supersector Index	\$ 100	\$ 146	\$ 216	\$ 156	\$ 215	\$ 322

Item 6. [Reserved]

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion should be read in conjunction with the consolidated financial statements and accompanying notes included in Part II, Item 8 of this Form 10-K. This Item generally discusses 2024 and 2023 items and year-to-year comparisons between 2024 and 2023. Discussions of 2022 items and year-to-year comparisons between 2023 and 2022 are not included, and can be found in "Management's Discussion and Analysis of Financial Condition and Results of Operations" in Part II, Item 7 of the Company's Annual Report on Form 10-K for the fiscal year ended September 30, 2023.

Product, Service and Software Announcements

The Company announces new product, service and software offerings at various times during the year. Significant announcements during fiscal year 2024 included the following:

First Quarter 2024:

- MacBook Pro 14-in.;
- MacBook Pro 16-in.; and
- iMac.

Second Quarter 2024:

- MacBook Air 13-in.; and
- MacBook Air 15-in.

Third Quarter 2024:

- iPad Air;
- iPad Pro;
- iOS 18, macOS Sequoia, iPadOS 18, watchOS 11, visionOS 2 and tvOS 18, updates to the Company's operating systems; and
- Apple Intelligence™, a personal intelligence system that uses generative models.

Fourth Quarter 2024:

- iPhone 16, iPhone 16 Plus, iPhone 16 Pro and iPhone 16 Pro Max;
- Apple Watch Series 10; and
- AirPods 4.

Fiscal Period

The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September. An additional week is included in the first fiscal quarter every five or six years to realign the Company's fiscal quarters with calendar quarters, which occurred in the first quarter of 2023. The Company's fiscal years 2024 and 2022 spanned 52 weeks each, whereas fiscal year 2023 spanned 53 weeks.

Macroeconomic Conditions

Macroeconomic conditions, including inflation, interest rates and currency fluctuations, have directly and indirectly impacted, and could in the future materially impact, the Company's results of operations and financial condition.

Segment Operating Performance

The following table shows net sales by reportable segment for 2024, 2023 and 2022 (dollars in millions):

	2024	Change	2023	Change	2022
Americas	\$ 167,045	3 %	\$ 162,560	(4)%	\$ 169,658
Europe	101,328	7 %	94,294	(1)%	95,118
Greater China	66,952	(8)%	72,559	(2)%	74,200
Japan	25,052	3 %	24,257	(7)%	25,977
Rest of Asia Pacific	30,658	4 %	29,615	1 %	29,375
Total net sales	\$ 391,035	2 %	\$ 383,285	(3)%	\$ 394,328

Americas

Americas net sales increased during 2024 compared to 2023 due primarily to higher net sales of Services.

Europe

Europe net sales increased during 2024 compared to 2023 due primarily to higher net sales of Services and iPhone.

Greater China

Greater China net sales decreased during 2024 compared to 2023 due primarily to lower net sales of iPhone and iPad. The weakness in the renminbi relative to the U.S. dollar had an unfavorable year-over-year impact on Greater China net sales during 2024.

Japan

Japan net sales increased during 2024 compared to 2023 due primarily to higher net sales of iPhone. The weakness in the yen relative to the U.S. dollar had an unfavorable year-over-year impact on Japan net sales during 2024.

Rest of Asia Pacific

Rest of Asia Pacific net sales increased during 2024 compared to 2023 due primarily to higher net sales of Services. The weakness in foreign currencies relative to the U.S. dollar had a net unfavorable year-over-year impact on Rest of Asia Pacific net sales during 2024.

Products and Services Performance

The following table shows net sales by category for 2024, 2023 and 2022 (dollars in millions):

	2024	Change	2023	Change	2022
iPhone	\$ 201,183	— %	\$ 200,583	(2)%	\$ 205,489
Mac	29,984	2 %	29,357	(27)%	40,177
iPad	26,694	(6)%	28,300	(3)%	29,292
Wearables, Home and Accessories	37,005	(7)%	39,845	(3)%	41,241
Services ⁽¹⁾	96,169	13 %	85,200	9 %	78,129
Total net sales	\$ 391,035	2 %	\$ 383,285	(3)%	\$ 394,328

(1) Services net sales include amortization of the deferred value of services bundled in the sales price of certain products.

iPhone

iPhone net sales were relatively flat during 2024 compared to 2023.

Mac

Mac net sales increased during 2024 compared to 2023 due primarily to higher net sales of laptops.

iPad

iPad net sales decreased during 2024 compared to 2023 due primarily to lower net sales of iPad Pro and the entry-level iPad models, partially offset by higher net sales of iPad Air.

Wearables, Home and Accessories

Wearables, Home and Accessories net sales decreased during 2024 compared to 2023 due primarily to lower net sales of Wearables and Accessories.

Services

Services net sales increased during 2024 compared to 2023 due primarily to higher net sales from advertising, the App Store[®] and cloud services.

Gross Margin

Products and Services gross margin and gross margin percentage for 2024, 2023 and 2022 were as follows (dollars in millions):

	2024	2023	2022
Gross margin:			
Products	\$ 109,633	\$ 108,803	\$ 114,728
Services	71,050	60,345	56,054
Total gross margin	<u>\$ 180,683</u>	<u>\$ 169,148</u>	<u>\$ 170,782</u>
Gross margin percentage:			
Products	37.2 %	36.5 %	36.3 %
Services	73.9 %	70.8 %	71.7 %
Total gross margin percentage	46.2 %	44.1 %	43.3 %

Products Gross Margin

Products gross margin and Products gross margin percentage increased during 2024 compared to 2023 due to cost savings, partially offset by a different Products mix and the weakness in foreign currencies relative to the U.S. dollar.

Services Gross Margin

Services gross margin increased during 2024 compared to 2023 due primarily to higher Services net sales.

Services gross margin percentage increased during 2024 compared to 2023 due to a different Services mix.

The Company's future gross margins can be impacted by a variety of factors, as discussed in Part I, Item 1A of this Form 10-K under the heading "Risk Factors." As a result, the Company believes, in general, gross margins will be subject to volatility and downward pressure.

Operating Expenses

Operating expenses for 2024, 2023 and 2022 were as follows (dollars in millions):

	2024	Change	2023	Change	2022
Research and development	\$ 31,370	5 %	\$ 29,915	14 %	\$ 26,251
Percentage of total net sales	8 %		8 %		7 %
Selling, general and administrative	\$ 26,097	5 %	\$ 24,932	(1)%	\$ 25,094
Percentage of total net sales	7 %		7 %		6 %
Total operating expenses	\$ 57,467	5 %	\$ 54,847	7 %	\$ 51,345
Percentage of total net sales	15 %		14 %		13 %

Research and Development

The growth in R&D expense during 2024 compared to 2023 was driven primarily by increases in headcount-related expenses.

Selling, General and Administrative

Selling, general and administrative expense increased \$1.2 billion during 2024 compared to 2023.

Provision for Income Taxes

Provision for income taxes, effective tax rate and statutory federal income tax rate for 2024, 2023 and 2022 were as follows (dollars in millions):

	2024	2023	2022
Provision for income taxes	\$ 29,749	\$ 16,741	\$ 19,300
Effective tax rate	24.1 %	14.7 %	16.2 %
Statutory federal income tax rate	21 %	21 %	21 %

The Company's effective tax rate for 2024 was higher than the statutory federal income tax rate due primarily to a one-time income tax charge of \$10.2 billion, net, related to the State Aid Decision (refer to Note 7, "Income Taxes" in the Notes to Consolidated Financial Statements in Part II, Item 8 of this Form 10-K) and state income taxes, partially offset by a lower effective tax rate on foreign earnings, the impact of the U.S. federal R&D credit, and tax benefits from share-based compensation.

The Company's effective tax rate for 2024 was higher compared to 2023 due primarily to a one-time income tax charge of \$10.2 billion, net, related to the State Aid Decision, a higher effective tax rate on foreign earnings and lower tax benefits from share-based compensation.

Liquidity and Capital Resources

The Company believes its balances of unrestricted cash, cash equivalents and marketable securities, which totaled \$140.8 billion as of September 28, 2024, along with cash generated by ongoing operations and continued access to debt markets, will be sufficient to satisfy its cash requirements and capital return program over the next 12 months and beyond.

The Company's material cash requirements include the following contractual obligations:

Debt

As of September 28, 2024, the Company had outstanding fixed-rate notes with varying maturities for an aggregate principal amount of \$97.3 billion (collectively the "Notes"), with \$10.9 billion payable within 12 months. Future interest payments associated with the Notes total \$38.5 billion, with \$2.6 billion payable within 12 months.

The Company also issues unsecured short-term promissory notes pursuant to a commercial paper program. As of September 28, 2024, the Company had \$10.0 billion of commercial paper outstanding, all of which was payable within 12 months.

Leases

The Company has lease arrangements for certain equipment and facilities, including corporate, data center, manufacturing and retail space. As of September 28, 2024, the Company had fixed lease payment obligations of \$15.6 billion, with \$2.0 billion payable within 12 months.

Manufacturing Purchase Obligations

The Company utilizes several outsourcing partners to manufacture subassemblies for the Company's products and to perform final assembly and testing of finished products. The Company also obtains individual components for its products from a wide variety of individual suppliers. As of September 28, 2024, the Company had manufacturing purchase obligations of \$53.0 billion, with \$52.9 billion payable within 12 months.

Other Purchase Obligations

The Company's other purchase obligations primarily consist of noncancelable obligations to acquire capital assets, including assets related to product manufacturing, and noncancelable obligations related to supplier arrangements, licensed intellectual property and content, and distribution rights. As of September 28, 2024, the Company had other purchase obligations of \$12.0 billion, with \$4.1 billion payable within 12 months.

Deemed Repatriation Tax Payable

As of September 28, 2024, the balance of the deemed repatriation tax payable imposed by the U.S. Tax Cuts and Jobs Act of 2017 (the "TCJA") was \$16.5 billion, with \$7.2 billion expected to be paid within 12 months.

State Aid Decision Tax Payable

As of September 28, 2024, the Company had an obligation to pay €14.2 billion or \$15.8 billion to Ireland in connection with the State Aid Decision, all of which was expected to be paid within 12 months. The funds necessary to settle the obligation were held in escrow as of September 28, 2024, and restricted from general use.

Capital Return Program

In addition to its contractual cash requirements, the Company has an authorized share repurchase program. The program does not obligate the Company to acquire a minimum amount of shares. As of September 28, 2024, the Company's quarterly cash dividend was \$0.25 per share. The Company intends to increase its dividend on an annual basis, subject to declaration by the Board.

In May 2024, the Company announced a new share repurchase program of up to \$110 billion and raised its quarterly dividend from \$0.24 to \$0.25 per share beginning in May 2024. During 2024, the Company repurchased \$95.0 billion of its common stock and paid dividends and dividend equivalents of \$15.2 billion.

Recent Accounting Pronouncements

Income Taxes

In December 2023, the Financial Accounting Standards Board (the "FASB") issued Accounting Standards Update ("ASU") No. 2023-09, *Income Taxes (Topic 740): Improvements to Income Tax Disclosures* ("ASU 2023-09"), which will require the Company to disclose specified additional information in its income tax rate reconciliation and provide additional information for reconciling items that meet a quantitative threshold. ASU 2023-09 will also require the Company to disaggregate its income taxes paid disclosure by federal, state and foreign taxes, with further disaggregation required for significant individual jurisdictions. The Company will adopt ASU 2023-09 in its fourth quarter of 2026 using a prospective transition method.

Segment Reporting

In November 2023, the FASB issued ASU No. 2023-07, *Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosures* ("ASU 2023-07"), which will require the Company to disclose segment expenses that are significant and regularly provided to the Company's chief operating decision maker ("CODM"). In addition, ASU 2023-07 will require the Company to disclose the title and position of its CODM and how the CODM uses segment profit or loss information in assessing segment performance and deciding how to allocate resources. The Company will adopt ASU 2023-07 in its fourth quarter of 2025 using a retrospective transition method.

Critical Accounting Estimates

The preparation of financial statements and related disclosures in conformity with U.S. generally accepted accounting principles ("GAAP") and the Company's discussion and analysis of its financial condition and operating results require the Company's management to make judgments, assumptions and estimates that affect the amounts reported. Note 1, "Summary of Significant Accounting Policies" of the Notes to Consolidated Financial Statements in Part II, Item 8 of this Form 10-K describes the significant accounting policies and methods used in the preparation of the Company's consolidated financial statements. Management bases its estimates on historical experience and on various other assumptions it believes to be reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities.

Uncertain Tax Positions

The Company is subject to income taxes in the U.S. and numerous foreign jurisdictions. The evaluation of the Company's uncertain tax positions involves significant judgment in the interpretation and application of GAAP and complex domestic and international tax laws, including the TCJA and the allocation of international taxation rights between countries. Although management believes the Company's reserves are reasonable, no assurance can be given that the final outcome of these uncertainties will not be different from that reflected in the Company's reserves. Reserves are adjusted considering changing facts and circumstances, such as the closing of a tax examination. Resolution of these uncertainties in a manner inconsistent with management's expectations could have a material impact on the Company's financial condition and operating results.

Legal and Other Contingencies

The Company is subject to various legal proceedings and claims that arise in the ordinary course of business, the outcomes of which are inherently uncertain. The Company records a liability when it is probable that a loss has been incurred and the amount is reasonably estimable, the determination of which requires significant judgment. Resolution of legal matters in a manner inconsistent with management's expectations could have a material impact on the Company's financial condition and operating results.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

The Company is exposed to economic risk from interest rates and foreign exchange rates. The Company uses various strategies to manage these risks; however, they may still impact the Company’s consolidated financial statements.

Interest Rate Risk

The Company is primarily exposed to fluctuations in U.S. interest rates and their impact on the Company's investment portfolio and term debt. Increases in interest rates will negatively affect the fair value of the Company's investment portfolio and increase the interest expense on the Company's term debt. To protect against interest rate risk, the Company may use derivative instruments, offset interest rate–sensitive assets and liabilities, or control duration of the investment and term debt portfolios.

The following table sets forth potential impacts on the Company’s investment portfolio and term debt, including the effects of any associated derivatives, that would result from a hypothetical increase in relevant interest rates as of September 28, 2024 and September 30, 2023 (dollars in millions):

Interest Rate Sensitive Instrument	Hypothetical Interest Rate Increase	Potential Impact	2024	2023
Investment portfolio	100 basis points, all tenors	Decline in fair value	\$ 2,755	\$ 3,089
Term debt	100 basis points, all tenors	Increase in annual interest expense	\$ 139	\$ 194

Foreign Exchange Rate Risk

The Company's exposure to foreign exchange rate risk relates primarily to the Company being a net receiver of currencies other than the U.S. dollar. Changes in exchange rates, and in particular a strengthening of the U.S. dollar, will negatively affect the Company's net sales and gross margins as expressed in U.S. dollars. Fluctuations in exchange rates may also affect the fair values of certain of the Company's assets and liabilities. To protect against foreign exchange rate risk, the Company may use derivative instruments, offset exposures, or adjust local currency pricing of its products and services. However, the Company may choose to not hedge certain foreign currency exposures for a variety of reasons, including accounting considerations or prohibitive cost.

The Company applied a value-at-risk (“VAR”) model to its foreign currency derivative positions to assess the potential impact of fluctuations in exchange rates. The VAR model used a Monte Carlo simulation. The VAR is the maximum expected loss in fair value, for a given confidence interval, to the Company's foreign currency derivative positions due to adverse movements in rates. Based on the results of the model, the Company estimates, with 95% confidence, a maximum one-day loss in fair value of \$538 million and \$669 million as of September 28, 2024 and September 30, 2023, respectively. Changes in the Company's underlying foreign currency exposures, which were excluded from the assessment, generally offset changes in the fair values of the Company's foreign currency derivatives.

Item 8. Financial Statements and Supplementary Data

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All financial statement schedules have been omitted, since the required information is not applicable or is not present in amounts sufficient to require submission of the schedule, or because the information required is included in the consolidated financial statements and accompanying notes.

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Years ended		
	September 28, 2024	September 30, 2023	September 24, 2022
Net sales:			
Products	\$ 294,866	\$ 298,085	\$ 316,199
Services	96,169	85,200	78,129
Total net sales	391,035	383,285	394,328
Cost of sales:			
Products	185,233	189,282	201,471
Services	25,119	24,855	22,075
Total cost of sales	210,352	214,137	223,546
Gross margin	180,683	169,148	170,782
Operating expenses:			
Research and development	31,370	29,915	26,251
Selling, general and administrative	26,097	24,932	25,094
Total operating expenses	57,467	54,847	51,345
Operating income	123,216	114,301	119,437
Other income/(expense), net	269	(565)	(334)
Income before provision for income taxes	123,485	113,736	119,103
Provision for income taxes	29,749	16,741	19,300
Net income	\$ 93,736	\$ 96,995	\$ 99,803
Earnings per share:			
Basic	\$ 6.11	\$ 6.16	\$ 6.15
Diluted	\$ 6.08	\$ 6.13	\$ 6.11
Shares used in computing earnings per share:			
Basic	15,343,783	15,744,231	16,215,963
Diluted	15,408,095	15,812,547	16,325,819

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

	Years ended		
	September 28, 2024	September 30, 2023	September 24, 2022
Net income	\$ 93,736	\$ 96,995	\$ 99,803
Other comprehensive income/(loss):			
Change in foreign currency translation, net of tax	395	(765)	(1,511)
Change in unrealized gains/losses on derivative instruments, net of tax:			
Change in fair value of derivative instruments	(832)	323	3,212
Adjustment for net (gains)/losses realized and included in net income	(1,337)	(1,717)	(1,074)
Total change in unrealized gains/losses on derivative instruments	(2,169)	(1,394)	2,138
Change in unrealized gains/losses on marketable debt securities, net of tax:			
Change in fair value of marketable debt securities	5,850	1,563	(12,104)
Adjustment for net (gains)/losses realized and included in net income	204	253	205
Total change in unrealized gains/losses on marketable debt securities	6,054	1,816	(11,899)
Total other comprehensive income/(loss)	4,280	(343)	(11,272)
Total comprehensive income	\$ 98,016	\$ 96,652	\$ 88,531

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED BALANCE SHEETS

(In millions, except number of shares, which are reflected in thousands, and par value)

	September 28, 2024	September 30, 2023
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 29,943	\$ 29,965
Marketable securities	35,228	31,590
Accounts receivable, net	33,410	29,508
Vendor non-trade receivables	32,833	31,477
Inventories	7,286	6,331
Other current assets	14,287	14,695
Total current assets	152,987	143,566
Non-current assets:		
Marketable securities	91,479	100,544
Property, plant and equipment, net	45,680	43,715
Other non-current assets	74,834	64,758
Total non-current assets	211,993	209,017
Total assets	\$ 364,980	\$ 352,583
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	\$ 68,960	\$ 62,611
Other current liabilities	78,304	58,829
Deferred revenue	8,249	8,061
Commercial paper	9,967	5,985
Term debt	10,912	9,822
Total current liabilities	176,392	145,308
Non-current liabilities:		
Term debt	85,750	95,281
Other non-current liabilities	45,888	49,848
Total non-current liabilities	131,638	145,129
Total liabilities	308,030	290,437
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, \$0.00001 par value: 50,400,000 shares authorized; 15,116,786 and 15,550,061 shares issued and outstanding, respectively	83,276	73,812
Accumulated deficit	(19,154)	(214)
Accumulated other comprehensive loss	(7,172)	(11,452)
Total shareholders' equity	56,950	62,146
Total liabilities and shareholders' equity	\$ 364,980	\$ 352,583

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY
(In millions, except per-share amounts)

	Years ended		
	September 28, 2024	September 30, 2023	September 24, 2022
Total shareholders' equity, beginning balances	\$ 62,146	\$ 50,672	\$ 63,090
Common stock and additional paid-in capital:			
Beginning balances	73,812	64,849	57,365
Common stock issued	1,423	1,346	1,175
Common stock withheld related to net share settlement of equity awards	(3,993)	(3,521)	(2,971)
Share-based compensation	12,034	11,138	9,280
Ending balances	83,276	73,812	64,849
Retained earnings/(Accumulated deficit):			
Beginning balances	(214)	(3,068)	5,562
Net income	93,736	96,995	99,803
Dividends and dividend equivalents declared	(15,218)	(14,996)	(14,793)
Common stock withheld related to net share settlement of equity awards	(1,612)	(2,099)	(3,454)
Common stock repurchased	(95,846)	(77,046)	(90,186)
Ending balances	(19,154)	(214)	(3,068)
Accumulated other comprehensive income/(loss):			
Beginning balances	(11,452)	(11,109)	163
Other comprehensive income/(loss)	4,280	(343)	(11,272)
Ending balances	(7,172)	(11,452)	(11,109)
Total shareholders' equity, ending balances	\$ 56,950	\$ 62,146	\$ 50,672
Dividends and dividend equivalents declared per share or RSU	\$ 0.98	\$ 0.94	\$ 0.90

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions)

	Years ended		
	September 28, 2024	September 30, 2023	September 24, 2022
Cash, cash equivalents, and restricted cash and cash equivalents, beginning balances	\$ 30,737	\$ 24,977	\$ 35,929
Operating activities:			
Net income	93,736	96,995	99,803
Adjustments to reconcile net income to cash generated by operating activities:			
Depreciation and amortization	11,445	11,519	11,104
Share-based compensation expense	11,688	10,833	9,038
Other	(2,266)	(2,227)	1,006
Changes in operating assets and liabilities:			
Accounts receivable, net	(3,788)	(1,688)	(1,823)
Vendor non-trade receivables	(1,356)	1,271	(7,520)
Inventories	(1,046)	(1,618)	1,484
Other current and non-current assets	(11,731)	(5,684)	(6,499)
Accounts payable	6,020	(1,889)	9,448
Other current and non-current liabilities	15,552	3,031	6,110
Cash generated by operating activities	118,254	110,543	122,151
Investing activities:			
Purchases of marketable securities	(48,656)	(29,513)	(76,923)
Proceeds from maturities of marketable securities	51,211	39,686	29,917
Proceeds from sales of marketable securities	11,135	5,828	37,446
Payments for acquisition of property, plant and equipment	(9,447)	(10,959)	(10,708)
Other	(1,308)	(1,337)	(2,086)
Cash generated by/(used in) investing activities	2,935	3,705	(22,354)
Financing activities:			
Payments for taxes related to net share settlement of equity awards	(5,441)	(5,431)	(6,223)
Payments for dividends and dividend equivalents	(15,234)	(15,025)	(14,841)
Repurchases of common stock	(94,949)	(77,550)	(89,402)
Proceeds from issuance of term debt, net	—	5,228	5,465
Repayments of term debt	(9,958)	(11,151)	(9,543)
Proceeds from/(Repayments of) commercial paper, net	3,960	(3,978)	3,955
Other	(361)	(581)	(160)
Cash used in financing activities	(121,983)	(108,488)	(110,749)
Increase/(Decrease) in cash, cash equivalents, and restricted cash and cash equivalents	(794)	5,760	(10,952)
Cash, cash equivalents, and restricted cash and cash equivalents, ending balances	\$ 29,943	\$ 30,737	\$ 24,977
Supplemental cash flow disclosure:			
Cash paid for income taxes, net	\$ 26,102	\$ 18,679	\$ 19,573

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

Notes to Consolidated Financial Statements

Note 1 – Summary of Significant Accounting Policies

Basis of Presentation and Preparation

The consolidated financial statements include the accounts of Apple Inc. and its wholly owned subsidiaries. The preparation of these consolidated financial statements and accompanying notes in conformity with GAAP requires the use of management estimates. Certain prior period amounts in the consolidated financial statements and accompanying notes have been reclassified to conform to the current period's presentation.

The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September. An additional week is included in the first fiscal quarter every five or six years to realign the Company's fiscal quarters with calendar quarters, which occurred in the first fiscal quarter of 2023. The Company's fiscal years 2024 and 2022 spanned 52 weeks each, whereas fiscal year 2023 spanned 53 weeks. Unless otherwise stated, references to particular years, quarters, months and periods refer to the Company's fiscal years ended in September and the associated quarters, months and periods of those fiscal years.

Revenue

The Company records revenue net of taxes collected from customers that are remitted to governmental authorities.

Share-Based Compensation

The Company recognizes share-based compensation expense on a straight-line basis for its estimate of equity awards that will ultimately vest.

Cash Equivalents

All highly liquid investments with maturities of three months or less at the date of purchase are treated as cash equivalents.

Marketable Securities

The cost of securities sold is determined using the specific identification method.

Inventories

Inventories are measured using the first-in, first-out method.

Property, Plant and Equipment

Depreciation on property, plant and equipment is recognized on a straight-line basis.

Derivative Instruments

The Company presents derivative assets and liabilities at their gross fair values in the Consolidated Balance Sheets.

Income Taxes

The Company records certain deferred tax assets and liabilities in connection with the minimum tax on certain foreign earnings created by the TCJA.

Leases

The Company combines and accounts for lease and nonlease components as a single lease component for leases of corporate, data center and retail facilities.

Note 2 – Revenue

The Company recognizes revenue at the amount to which it expects to be entitled when control of the products or services is transferred to its customers. Control is generally transferred when the Company has a present right to payment and title and the significant risks and rewards of ownership of products or services are transferred to its customers. For most of the Company's Products net sales, control transfers when products are shipped. For the Company's Services net sales, control transfers over time as services are delivered. Payment for Products and Services net sales is collected within a short period following transfer of control or commencement of delivery of services, as applicable.

The Company records reductions to Products net sales related to future product returns, price protection and other customer incentive programs based on the Company's expectations and historical experience.

For arrangements with multiple performance obligations, which represent promises within an arrangement that are distinct, the Company allocates revenue to all distinct performance obligations based on their relative stand-alone selling prices ("SSPs"). When available, the Company uses observable prices to determine SSPs. When observable prices are not available, SSPs are established that reflect the Company's best estimates of what the selling prices of the performance obligations would be if they were sold regularly on a stand-alone basis. The Company's process for estimating SSPs without observable prices considers multiple factors that may vary depending upon the unique facts and circumstances related to each performance obligation including, where applicable, prices charged by the Company for similar offerings, market trends in the pricing for similar offerings, product-specific business objectives and the estimated cost to provide the performance obligation.

The Company has identified the performance obligations regularly included in arrangements involving the sale of iPhone, Mac and iPad. The first material performance obligation, which represents the substantial portion of the allocated sales price, is the hardware and bundled software delivered at the time of sale. The second material performance obligation is the right to receive certain product-related bundled services, which include iCloud®, Siri® and Maps. The Company allocates revenue and any related discounts to all of its performance obligations based on their relative SSPs. Because the Company lacks observable prices for product-related bundled services, the allocation of revenue is based on the Company's estimated SSPs. Revenue allocated to the delivered hardware and bundled software is recognized when control has transferred to the customer, which generally occurs when the product is shipped. Revenue allocated to product-related bundled services is deferred and recognized on a straight-line basis over the estimated period they are expected to be provided.

For certain long-term service arrangements, the Company has performance obligations for services it has not yet delivered. For these arrangements, the Company does not have a right to bill for the undelivered services. The Company has determined that any unbilled consideration relates entirely to the value of the undelivered services. Accordingly, the Company has not recognized revenue, and does not disclose amounts, related to these undelivered services.

For the sale of third-party products where the Company obtains control of the product before transferring it to the customer, the Company recognizes revenue based on the gross amount billed to customers. The Company considers multiple factors when determining whether it obtains control of third-party products, including evaluating if it can establish the price of the product, retains inventory risk for tangible products or has the responsibility for ensuring acceptability of the product. For third-party applications sold through the App Store, the Company does not obtain control of the product before transferring it to the customer. Therefore, the Company accounts for all third-party application-related sales on a net basis by recognizing in Services net sales only the commission it retains.

Net sales disaggregated by significant products and services for 2024, 2023 and 2022 were as follows (in millions):

	2024	2023	2022
iPhone	\$ 201,183	\$ 200,583	\$ 205,489
Mac	29,984	29,357	40,177
iPad	26,694	28,300	29,292
Wearables, Home and Accessories	37,005	39,845	41,241
Services ⁽¹⁾	96,169	85,200	78,129
Total net sales	<u>\$ 391,035</u>	<u>\$ 383,285</u>	<u>\$ 394,328</u>

(1) Services net sales include amortization of the deferred value of services bundled in the sales price of certain products.

Total net sales include \$7.7 billion of revenue recognized in 2024 that was included in deferred revenue as of September 30, 2023, \$8.2 billion of revenue recognized in 2023 that was included in deferred revenue as of September 24, 2022, and \$7.5 billion of revenue recognized in 2022 that was included in deferred revenue as of September 25, 2021.

The Company's proportion of net sales by disaggregated revenue source was generally consistent for each reportable segment in Note 13, "Segment Information and Geographic Data" for 2024, 2023 and 2022, except in Greater China, where iPhone revenue represented a moderately higher proportion of net sales.

As of September 28, 2024 and September 30, 2023, the Company had total deferred revenue of \$12.8 billion and \$12.1 billion, respectively. As of September 28, 2024, the Company expects 64% of total deferred revenue to be realized in less than a year, 25% within one-to-two years, 9% within two-to-three years and 2% in greater than three years.

Note 3 – Earnings Per Share

The following table shows the computation of basic and diluted earnings per share for 2024, 2023 and 2022 (net income in millions and shares in thousands):

	2024	2023	2022
Numerator:			
Net income	\$ 93,736	\$ 96,995	\$ 99,803
Denominator:			
Weighted-average basic shares outstanding	15,343,783	15,744,231	16,215,963
Effect of dilutive share-based awards	64,312	68,316	109,856
Weighted-average diluted shares	15,408,095	15,812,547	16,325,819
Basic earnings per share	\$ 6.11	\$ 6.16	\$ 6.15
Diluted earnings per share	\$ 6.08	\$ 6.13	\$ 6.11

Approximately 24 million restricted stock units ("RSUs") were excluded from the computation of diluted earnings per share for 2023 because their effect would have been antidilutive.

Note 4 – Financial Instruments

Cash, Cash Equivalents and Marketable Securities

The following tables show the Company's cash, cash equivalents and marketable securities by significant investment category as of September 28, 2024 and September 30, 2023 (in millions):

	2024						
	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non-Current Marketable Securities
Cash	\$ 27,199	\$ —	\$ —	\$ 27,199	\$ 27,199	\$ —	\$ —
Level 1:							
Money market funds	778	—	—	778	778	—	—
Mutual funds	515	105	(3)	617	—	617	—
Subtotal	1,293	105	(3)	1,395	778	617	—
Level 2 ⁽¹⁾ :							
U.S. Treasury securities	16,150	45	(516)	15,679	212	4,087	11,380
U.S. agency securities	5,431	—	(272)	5,159	155	703	4,301
Non-U.S. government securities	17,959	93	(484)	17,568	1,158	10,810	5,600
Certificates of deposit and time deposits	873	—	—	873	387	478	8
Commercial paper	1,066	—	—	1,066	28	1,038	—
Corporate debt securities	65,622	270	(1,953)	63,939	26	16,027	47,886
Municipal securities	412	—	(7)	405	—	190	215
Mortgage- and asset-backed securities	24,595	175	(1,403)	23,367	—	1,278	22,089
Subtotal	132,108	583	(4,635)	128,056	1,966	34,611	91,479
Total ⁽²⁾⁽³⁾	\$ 160,600	\$ 688	\$ (4,638)	\$ 156,650	\$ 29,943	\$ 35,228	\$ 91,479

	2023						
	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non-Current Marketable Securities
Cash	\$ 28,359	\$ —	\$ —	\$ 28,359	\$ 28,359	\$ —	\$ —
Level 1:							
Money market funds	481	—	—	481	481	—	—
Mutual funds and equity securities	442	12	(26)	428	—	428	—
Subtotal	923	12	(26)	909	481	428	—
Level 2 ⁽¹⁾ :							
U.S. Treasury securities	19,406	—	(1,292)	18,114	35	5,468	12,611
U.S. agency securities	5,736	—	(600)	5,136	36	271	4,829
Non-U.S. government securities	17,533	6	(1,048)	16,491	—	11,332	5,159
Certificates of deposit and time deposits	1,354	—	—	1,354	1,034	320	—
Commercial paper	608	—	—	608	—	608	—
Corporate debt securities	76,840	6	(5,956)	70,890	20	12,627	58,243
Municipal securities	628	—	(26)	602	—	192	410
Mortgage- and asset-backed securities	22,365	6	(2,735)	19,636	—	344	19,292
Subtotal	144,470	18	(11,657)	132,831	1,125	31,162	100,544
Total ⁽³⁾	\$ 173,752	\$ 30	\$ (11,683)	\$ 162,099	\$ 29,965	\$ 31,590	\$ 100,544

- (1) The valuation techniques used to measure the fair values of the Company's Level 2 financial instruments, which generally have counterparties with high credit ratings, are based on quoted market prices or model-driven valuations using significant inputs derived from or corroborated by observable market data.
- (2) As of September 28, 2024, cash and cash equivalents included \$2.6 billion held in escrow and restricted from general use. These restricted cash and cash equivalents were designated to settle the Company's obligation related to the State Aid Decision (refer to Note 7, "Income Taxes").
- (3) As of September 28, 2024 and September 30, 2023, total marketable securities included \$13.2 billion and \$13.8 billion, respectively, held in escrow and restricted from general use. The September 28, 2024 restricted marketable securities were designated to settle the Company's obligation related to the State Aid Decision (refer to Note 7, "Income Taxes").

As of September 28, 2024, 86% of the Company's non-current marketable debt securities other than mortgage- and asset-backed securities had maturities between 1 and 5 years, 10% between 5 and 10 years, and 4% greater than 10 years. As of September 28, 2024, 14% of the Company's non-current mortgage- and asset-backed securities had maturities between 1 and 5 years, 9% between 5 and 10 years, and 77% greater than 10 years.

The Company's investments in marketable debt securities have been classified and accounted for as available-for-sale. The Company classifies marketable debt securities as either current or non-current based on each instrument's underlying maturity.

Derivative Instruments and Hedging

The Company may use derivative instruments to partially offset its business exposure to foreign exchange and interest rate risk. However, the Company may choose not to hedge certain exposures for a variety of reasons including accounting considerations or the prohibitive economic cost of hedging particular exposures. There can be no assurance the hedges will offset more than a portion of the financial impact resulting from movements in foreign exchange or interest rates.

The Company classifies cash flows related to derivative instruments in the same section of the Consolidated Statements of Cash Flows as the items being hedged, which are generally classified as operating activities.

Foreign Exchange Rate Risk

To protect gross margins from fluctuations in foreign exchange rates, the Company may use forwards, options or other instruments, and may designate these instruments as cash flow hedges. The Company generally hedges portions of its forecasted foreign currency exposure associated with revenue and inventory purchases, typically for up to 12 months.

To protect the Company's foreign currency-denominated term debt or marketable securities from fluctuations in foreign exchange rates, the Company may use forwards, cross-currency swaps or other instruments. The Company designates these instruments as either cash flow or fair value hedges. As of September 28, 2024, the maximum length of time over which the Company is hedging its exposure to the variability in future cash flows for term debt-related foreign currency transactions is 18 years.

The Company may also use derivative instruments that are not designated as accounting hedges to protect gross margins from certain fluctuations in foreign exchange rates, as well as to offset a portion of the foreign currency gains and losses generated by the remeasurement of certain assets and liabilities denominated in non-functional currencies.

Interest Rate Risk

To protect the Company's term debt or marketable securities from fluctuations in interest rates, the Company may use interest rate swaps, options or other instruments. The Company designates these instruments as either cash flow or fair value hedges.

The notional amounts of the Company's outstanding derivative instruments as of September 28, 2024 and September 30, 2023 were as follows (in millions):

	2024	2023
Derivative instruments designated as accounting hedges:		
Foreign exchange contracts	\$ 64,069	\$ 74,730
Interest rate contracts	\$ 14,575	\$ 19,375
Derivative instruments not designated as accounting hedges:		
Foreign exchange contracts	\$ 91,493	\$ 104,777

The carrying amounts of the Company's hedged items in fair value hedges as of September 28, 2024 and September 30, 2023 were as follows (in millions):

	2024	2023
Hedged assets/(liabilities):		
Current and non-current marketable securities	\$ —	\$ 14,433
Current and non-current term debt	\$ (13,505)	\$ (18,247)

Accounts Receivable

Trade Receivables

The Company's third-party cellular network carriers accounted for 38% and 41% of total trade receivables as of September 28, 2024 and September 30, 2023, respectively. The Company requires third-party credit support or collateral from certain customers to limit credit risk.

Vendor Non-Trade Receivables

The Company has non-trade receivables from certain of its manufacturing vendors resulting from the sale of components to these vendors who manufacture subassemblies or assemble final products for the Company. The Company purchases these components directly from suppliers. The Company does not reflect the sale of these components in products net sales. Rather, the Company recognizes any gain on these sales as a reduction of products cost of sales when the related final products are sold by the Company. As of September 28, 2024, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 44% and 23%. As of September 30, 2023, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 48% and 23%.

Note 5 – Property, Plant and Equipment

The following table shows the Company's gross property, plant and equipment by major asset class and accumulated depreciation as of September 28, 2024 and September 30, 2023 (in millions):

	2024	2023
Land and buildings	\$ 24,690	\$ 23,446
Machinery, equipment and internal-use software	80,205	78,314
Leasehold improvements	14,233	12,839
Gross property, plant and equipment	119,128	114,599
Accumulated depreciation	(73,448)	(70,884)
Total property, plant and equipment, net	\$ 45,680	\$ 43,715

Depreciation expense on property, plant and equipment was \$8.2 billion, \$8.5 billion and \$8.7 billion during 2024, 2023 and 2022, respectively.

Note 6 – Consolidated Financial Statement Details

The following tables show the Company's consolidated financial statement details as of September 28, 2024 and September 30, 2023 (in millions):

Other Non-Current Assets

	2024	2023
Deferred tax assets	\$ 19,499	\$ 17,852
Other non-current assets	55,335	46,906
Total other non-current assets	\$ 74,834	\$ 64,758

Other Current Liabilities

	2024	2023
Income taxes payable	\$ 26,601	\$ 8,819
Other current liabilities	51,703	50,010
Total other current liabilities	\$ 78,304	\$ 58,829

Other Non-Current Liabilities

	2024	2023
Income taxes payable	\$ 9,254	\$ 15,457
Other non-current liabilities	36,634	34,391
Total other non-current liabilities	\$ 45,888	\$ 49,848

Note 7 – Income Taxes**European Commission State Aid Decision**

On August 30, 2016, the Commission announced its decision that Ireland granted state aid to the Company by providing tax opinions in 1991 and 2007 concerning the tax allocation of profits of the Irish branches of two subsidiaries of the Company (the "State Aid Decision"). The State Aid Decision ordered Ireland to calculate and recover additional taxes from the Company for the period June 2003 through December 2014. Irish legislative changes, effective as of January 2015, eliminated the application of the tax opinions from that date forward. The recovery amount was calculated to be €13.1 billion, plus interest of €1.2 billion.

From time to time, the Company requested approval from the Irish Minister for Finance to reduce the recovery amount for certain taxes paid to other countries. As of September 28, 2024, the adjusted recovery amount of €12.7 billion plus interest of €1.2 billion was held in escrow and restricted from general use. The total balance of the escrow, including net unrealized investment gains, was €14.2 billion or \$15.8 billion as of September 28, 2024, of which \$2.6 billion was classified as cash and cash equivalents and \$13.2 billion was classified as current marketable securities in the Consolidated Balance Sheet. Refer to the Cash, Cash Equivalents and Marketable Securities section of Note 4, "Financial Instruments" for more information.

The Company and Ireland appealed the State Aid Decision to the General Court of the Court of Justice of the European Union (the “General Court”). On July 15, 2020, the General Court annulled the State Aid Decision. On September 25, 2020, the Commission appealed the General Court’s decision to the European Court of Justice (the “ECJ”) and a hearing was held on May 23, 2023. On September 10, 2024, the ECJ announced that it had set aside the 2020 judgment of the General Court and confirmed the Commission’s 2016 State Aid Decision. As a result, during the fourth quarter of 2024 the Company recorded a one-time income tax charge of \$10.2 billion, net, which represents \$15.8 billion payable to Ireland via release of the escrow, partially offset by a U.S. foreign tax credit of \$4.8 billion and a decrease in unrecognized tax benefits of \$823 million.

Provision for Income Taxes and Effective Tax Rate

The provision for income taxes for 2024, 2023 and 2022, consisted of the following (in millions):

	2024	2023	2022
Federal:			
Current	\$ 5,571	\$ 9,445	\$ 7,890
Deferred	(3,080)	(3,644)	(2,265)
Total	2,491	5,801	5,625
State:			
Current	1,726	1,570	1,519
Deferred	(298)	(49)	84
Total	1,428	1,521	1,603
Foreign:			
Current	25,483	8,750	8,996
Deferred	347	669	3,076
Total	25,830	9,419	12,072
Provision for income taxes	\$ 29,749	\$ 16,741	\$ 19,300

Foreign pretax earnings were \$77.3 billion, \$72.9 billion and \$71.3 billion in 2024, 2023 and 2022, respectively.

A reconciliation of the provision for income taxes to the amount computed by applying the statutory federal income tax rate (21% in 2024, 2023 and 2022) to income before provision for income taxes for 2024, 2023 and 2022, is as follows (dollars in millions):

	2024	2023	2022
Computed expected tax	\$ 25,932	\$ 23,885	\$ 25,012
State taxes, net of federal effect	1,162	1,124	1,518
Impact of the State Aid Decision	10,246	—	—
Earnings of foreign subsidiaries	(5,311)	(5,744)	(4,366)
Research and development credit, net	(1,397)	(1,212)	(1,153)
Excess tax benefits from equity awards	(893)	(1,120)	(1,871)
Other	10	(192)	160
Provision for income taxes	\$ 29,749	\$ 16,741	\$ 19,300
Effective tax rate	24.1 %	14.7 %	16.2 %

Deferred Tax Assets and Liabilities

As of September 28, 2024 and September 30, 2023, the significant components of the Company's deferred tax assets and liabilities were (in millions):

	2024	2023
Deferred tax assets:		
Capitalized research and development	\$ 10,739	\$ 6,294
Tax credit carryforwards	8,856	8,302
Accrued liabilities and other reserves	6,114	6,365
Deferred revenue	3,413	4,571
Lease liabilities	2,410	2,421
Unrealized losses	1,173	2,447
Other	2,168	2,343
Total deferred tax assets	34,873	32,743
Less: Valuation allowance	(8,866)	(8,374)
Total deferred tax assets, net	26,007	24,369
Deferred tax liabilities:		
Depreciation	2,551	1,998
Right-of-use assets	2,125	2,179
Minimum tax on foreign earnings	1,674	1,940
Unrealized gains	—	511
Other	455	490
Total deferred tax liabilities	6,805	7,118
Net deferred tax assets	\$ 19,202	\$ 17,251

As of September 28, 2024, the Company had \$5.1 billion in foreign tax credit carryforwards in Ireland and \$3.6 billion in California R&D credit carryforwards, both of which can be carried forward indefinitely. A valuation allowance has been recorded for the credit carryforwards and a portion of other temporary differences.

Uncertain Tax Positions

As of September 28, 2024, the total amount of gross unrecognized tax benefits was \$22.0 billion, of which \$10.8 billion, if recognized, would impact the Company's effective tax rate. As of September 30, 2023, the total amount of gross unrecognized tax benefits was \$19.5 billion, of which \$9.5 billion, if recognized, would have impacted the Company's effective tax rate.

The aggregate change in the balance of gross unrecognized tax benefits, which excludes interest and penalties, for 2024, 2023 and 2022, is as follows (in millions):

	2024	2023	2022
Beginning balances	\$ 19,454	\$ 16,758	\$ 15,477
Increases related to tax positions taken during a prior year	1,727	2,044	2,284
Decreases related to tax positions taken during a prior year	(386)	(1,463)	(1,982)
Increases related to tax positions taken during the current year	2,542	2,628	1,936
Decreases related to settlements with taxing authorities	(1,070)	(19)	(28)
Decreases related to expiration of the statute of limitations	(229)	(494)	(929)
Ending balances	\$ 22,038	\$ 19,454	\$ 16,758

The Company is subject to taxation and files income tax returns in the U.S. federal jurisdiction and many state and foreign jurisdictions. Tax years after 2017 for the U.S. federal jurisdiction, and after 2014 in certain major foreign jurisdictions, remain subject to examination. Although the timing of resolution or closure of examinations is not certain, the Company believes it is reasonably possible that its gross unrecognized tax benefits could decrease between approximately \$5 billion and \$13 billion in the next 12 months, primarily related to intercompany transfer pricing and deemed repatriation tax.

Note 8 – Leases

The Company has lease arrangements for certain equipment and facilities, including corporate, data center, manufacturing and retail space. These leases typically have original terms not exceeding 10 years and generally contain multiyear renewal options, some of which are reasonably certain of exercise.

Payments under the Company's lease arrangements may be fixed or variable, and variable lease payments are primarily based on purchases of output of the underlying leased assets. Lease costs associated with fixed payments on the Company's operating leases were \$2.0 billion for both 2024 and 2023 and \$1.9 billion for 2022. Lease costs associated with variable payments on the Company's leases were \$13.8 billion, \$13.9 billion and \$14.9 billion for 2024, 2023 and 2022, respectively.

The Company made fixed cash payments related to operating leases of \$1.9 billion in both 2024 and 2023 and \$1.8 billion in 2022. Noncash activities involving right-of-use ("ROU") assets obtained in exchange for lease liabilities were \$1.0 billion, \$2.1 billion and \$2.8 billion for 2024, 2023 and 2022, respectively.

The following table shows ROU assets and lease liabilities, and the associated financial statement line items, as of September 28, 2024 and September 30, 2023 (in millions):

Lease-Related Assets and Liabilities	Financial Statement Line Items	2024	2023
Right-of-use assets:			
Operating leases	Other non-current assets	\$ 10,234	\$ 10,661
Finance leases	Property, plant and equipment, net	1,069	1,015
Total right-of-use assets		<u>\$ 11,303</u>	<u>\$ 11,676</u>
Lease liabilities:			
Operating leases	Other current liabilities	\$ 1,488	\$ 1,410
	Other non-current liabilities	10,046	10,408
Finance leases	Other current liabilities	144	165
	Other non-current liabilities	752	859
Total lease liabilities		<u>\$ 12,430</u>	<u>\$ 12,842</u>

Lease liability maturities as of September 28, 2024, are as follows (in millions):

	Operating Leases	Finance Leases	Total
2025	\$ 1,820	\$ 171	\$ 1,991
2026	1,914	131	2,045
2027	1,674	59	1,733
2028	1,360	38	1,398
2029	1,187	36	1,223
Thereafter	5,563	837	6,400
Total undiscounted liabilities	13,518	1,272	14,790
Less: Imputed interest	(1,984)	(376)	(2,360)
Total lease liabilities	<u>\$ 11,534</u>	<u>\$ 896</u>	<u>\$ 12,430</u>

The weighted-average remaining lease term related to the Company's lease liabilities as of September 28, 2024 and September 30, 2023 was 10.3 years and 10.6 years, respectively. The discount rate related to the Company's lease liabilities as of September 28, 2024 and September 30, 2023 was 3.1% and 3.0%, respectively. The discount rates related to the Company's lease liabilities are generally based on estimates of the Company's incremental borrowing rate, as the discount rates implicit in the Company's leases cannot be readily determined.

As of September 28, 2024, the Company had \$849 million of fixed payment obligations under additional leases, primarily for corporate facilities and retail space, that had not yet commenced. These leases will commence between 2025 and 2026, with lease terms ranging from less than 1 year to 21 years.

Note 9 – Debt

Commercial Paper

The Company issues unsecured short-term promissory notes pursuant to a commercial paper program. The Company uses net proceeds from the commercial paper program for general corporate purposes, including dividends and share repurchases. As of September 28, 2024 and September 30, 2023, the Company had \$10.0 billion and \$6.0 billion of commercial paper outstanding, respectively, with maturities generally less than nine months. The weighted-average interest rate of the Company's commercial paper was 5.00% and 5.28% as of September 28, 2024 and September 30, 2023, respectively. The following table provides a summary of cash flows associated with the issuance and maturities of commercial paper for 2024, 2023 and 2022 (in millions):

	2024	2023	2022
Maturities 90 days or less:			
Proceeds from/(Repayments of) commercial paper, net	\$ 3,960	\$ (1,333)	\$ 5,264
Maturities greater than 90 days:			
Proceeds from commercial paper	—	—	5,948
Repayments of commercial paper	—	(2,645)	(7,257)
Proceeds from/(Repayments of) commercial paper, net	—	(2,645)	(1,309)
Total proceeds from/(repayments of) commercial paper, net	\$ 3,960	\$ (3,978)	\$ 3,955

Term Debt

The Company has outstanding Notes, which are senior unsecured obligations with interest payable in arrears. The following table provides a summary of the Company's term debt as of September 28, 2024 and September 30, 2023:

		2024		2023	
	Maturities (calendar year)	Amount (in millions)	Effective Interest Rate	Amount (in millions)	Effective Interest Rate
2013 – 2023 debt issuances:					
Fixed-rate 0.000% – 4.850% notes	2024 – 2062	\$ 97,341	0.03% – 6.65%	\$ 106,572	0.03% – 6.72%
Total term debt principal		97,341		106,572	
Unamortized premium/(discount) and issuance costs, net		(321)		(356)	
Hedge accounting fair value adjustments		(358)		(1,113)	
Total term debt		96,662		105,103	
Less: Current portion of term debt		(10,912)		(9,822)	
Total non-current portion of term debt		\$ 85,750		\$ 95,281	

To manage interest rate risk on certain of its U.S. dollar-denominated fixed-rate notes, the Company uses interest rate swaps to effectively convert the fixed interest rates to floating interest rates on a portion of these notes. Additionally, to manage foreign exchange rate risk on certain of its foreign currency-denominated notes, the Company uses cross-currency swaps to effectively convert these notes to U.S. dollar-denominated notes.

The effective interest rates for the Notes include the interest on the Notes, amortization of the discount or premium and, if applicable, adjustments related to hedging.

The future principal payments for the Company's Notes as of September 28, 2024, are as follows (in millions):

2025	\$ 10,930
2026	12,342
2027	9,936
2028	7,800
2029	5,153
Thereafter	51,180
Total term debt principal	\$ 97,341

As of September 28, 2024 and September 30, 2023, the fair value of the Company's Notes, based on Level 2 inputs, was \$88.4 billion and \$90.8 billion, respectively.

Note 10 – Shareholders' Equity

Share Repurchase Program

During 2024, the Company repurchased 499 million shares of its common stock for \$95.0 billion. The Company's share repurchase programs do not obligate the Company to acquire a minimum amount of shares. Under the programs, shares may be repurchased in privately negotiated or open market transactions, including under plans complying with Rule 10b5-1 under the Exchange Act.

Shares of Common Stock

The following table shows the changes in shares of common stock for 2024, 2023 and 2022 (in thousands):

	2024	2023	2022
Common stock outstanding, beginning balances	15,550,061	15,943,425	16,426,786
Common stock repurchased	(499,372)	(471,419)	(568,589)
Common stock issued, net of shares withheld for employee taxes	66,097	78,055	85,228
Common stock outstanding, ending balances	15,116,786	15,550,061	15,943,425

Note 11 – Share-Based Compensation

2022 Employee Stock Plan

The Apple Inc. 2022 Employee Stock Plan (the “2022 Plan”) is a shareholder-approved plan that provides for broad-based equity grants to employees, including executive officers, and permits the granting of RSUs, stock grants, performance-based awards, stock options and stock appreciation rights. RSUs granted under the 2022 Plan generally vest over four years, based on continued employment, and are settled upon vesting in shares of the Company's common stock on a one-for-one basis. All RSUs granted under the 2022 Plan have dividend equivalent rights, which entitle holders of RSUs to the same dividend value per share as holders of common stock. A maximum of approximately 1.3 billion shares were authorized for issuance pursuant to 2022 Plan awards at the time the plan was approved on March 4, 2022.

2014 Employee Stock Plan

The Apple Inc. 2014 Employee Stock Plan, as amended and restated (the “2014 Plan”), is a shareholder-approved plan that provided for broad-based equity grants to employees, including executive officers. The 2014 Plan permitted the granting of the same types of equity awards with substantially the same terms as the 2022 Plan. The 2014 Plan also permitted the granting of cash bonus awards. In the third quarter of 2022, the Company terminated the authority to grant new awards under the 2014 Plan.

Restricted Stock Units

A summary of the Company's RSU activity and related information for 2024, 2023 and 2022, is as follows:

	Number of RSUs (in thousands)	Weighted-Average Grant-Date Fair Value Per RSU	Aggregate Fair Value (in millions)
Balance as of September 25, 2021	240,427	\$ 75.16	
RSUs granted	91,674	\$ 150.70	
RSUs vested	(115,861)	\$ 72.12	
RSUs canceled	(14,739)	\$ 99.77	
Balance as of September 24, 2022	201,501	\$ 109.48	
RSUs granted	88,768	\$ 150.87	
RSUs vested	(101,878)	\$ 97.31	
RSUs canceled	(8,144)	\$ 127.98	
Balance as of September 30, 2023	180,247	\$ 135.91	
RSUs granted	80,456	\$ 173.78	
RSUs vested	(87,633)	\$ 127.59	
RSUs canceled	(9,744)	\$ 140.80	
Balance as of September 28, 2024	163,326	\$ 158.73	\$ 37,204

The fair value as of the respective vesting dates of RSUs was \$15.8 billion, \$15.9 billion and \$18.2 billion for 2024, 2023 and 2022, respectively. The majority of RSUs that vested in 2024, 2023 and 2022 were net share settled such that the Company withheld shares with a value equivalent to the employees' obligation for the applicable income and other employment taxes, and remitted cash to the appropriate taxing authorities. The total shares withheld were approximately 31 million, 37 million and 41 million for 2024, 2023 and 2022, respectively, and were based on the value of the RSUs on their respective vesting dates as determined by the Company's closing stock price. Total payments to taxing authorities for employees' tax obligations were \$5.6 billion in both 2024 and 2023 and \$6.4 billion in 2022.

Share-Based Compensation

The following table shows share-based compensation expense and the related income tax benefit included in the Consolidated Statements of Operations for 2024, 2023 and 2022 (in millions):

	2024	2023	2022
Share-based compensation expense	\$ 11,688	\$ 10,833	\$ 9,038
Income tax benefit related to share-based compensation expense	\$ (3,350)	\$ (3,421)	\$ (4,002)

As of September 28, 2024, the total unrecognized compensation cost related to outstanding RSUs was \$19.4 billion, which the Company expects to recognize over a weighted-average period of 2.4 years.

Note 12 – Commitments, Contingencies and Supply Concentrations

Unconditional Purchase Obligations

The Company has entered into certain off-balance sheet commitments that require the future purchase of goods or services ("unconditional purchase obligations"). The Company's unconditional purchase obligations primarily consist of supplier arrangements, licensed intellectual property and content, and distribution rights. Future payments under unconditional purchase obligations with a remaining term in excess of one year as of September 28, 2024, are as follows (in millions):

2025	\$ 3,206
2026	2,440
2027	1,156
2028	3,121
2029	633
Thereafter	670
Total	\$ 11,226

Contingencies

The Company is subject to various legal proceedings and claims that have arisen in the ordinary course of business and that have not been fully resolved. The outcome of litigation is inherently uncertain. In the opinion of management, there was not at least a reasonable possibility the Company may have incurred a material loss, or a material loss greater than a recorded accrual, concerning loss contingencies for asserted legal and other claims.

Concentrations in the Available Sources of Supply of Materials and Product

Although most components essential to the Company's business are generally available from multiple sources, certain components are currently obtained from single or limited sources. The Company also competes for various components with other participants in the markets for smartphones, personal computers, tablets, wearables and accessories. Therefore, many components used by the Company, including those that are available from multiple sources, are at times subject to industry-wide shortage and significant commodity pricing fluctuations.

The Company uses some custom components that are not commonly used by its competitors, and new products introduced by the Company often utilize custom components available from only one source. When a component or product uses new technologies, initial capacity constraints may exist until the suppliers' yields have matured or their manufacturing capacities have increased. The continued availability of these components at acceptable prices, or at all, may be affected if suppliers decide to concentrate on the production of common components instead of components customized to meet the Company's requirements.

Substantially all of the Company's hardware products are manufactured by outsourcing partners that are located primarily in China mainland, India, Japan, South Korea, Taiwan and Vietnam.

Note 13 – Segment Information and Geographic Data

The Company manages its business primarily on a geographic basis. The Company's reportable segments consist of the Americas, Europe, Greater China, Japan and Rest of Asia Pacific. Americas includes both North and South America. Europe includes European countries, as well as India, the Middle East and Africa. Greater China includes China mainland, Hong Kong and Taiwan. Rest of Asia Pacific includes Australia and those Asian countries not included in the Company's other reportable segments. Although the reportable segments provide similar hardware and software products and similar services, each one is managed separately to better align with the location of the Company's customers and distribution partners and the unique market dynamics of each geographic region.

The Company evaluates the performance of its reportable segments based on net sales and operating income. Net sales for geographic segments are generally based on the location of customers and sales through the Company's retail stores located in those geographic locations. Operating income for each segment consists of net sales to third parties, related cost of sales, and operating expenses directly attributable to the segment. The information provided to the Company's chief operating decision maker for purposes of making decisions and assessing segment performance excludes asset information.

The following table shows information by reportable segment for 2024, 2023 and 2022 (in millions):

	2024	2023	2022
Americas:			
Net sales	\$ 167,045	\$ 162,560	\$ 169,658
Operating income	\$ 67,656	\$ 60,508	\$ 62,683
Europe:			
Net sales	\$ 101,328	\$ 94,294	\$ 95,118
Operating income	\$ 41,790	\$ 36,098	\$ 35,233
Greater China:			
Net sales	\$ 66,952	\$ 72,559	\$ 74,200
Operating income	\$ 27,082	\$ 30,328	\$ 31,153
Japan:			
Net sales	\$ 25,052	\$ 24,257	\$ 25,977
Operating income	\$ 12,454	\$ 11,888	\$ 12,257
Rest of Asia Pacific:			
Net sales	\$ 30,658	\$ 29,615	\$ 29,375
Operating income	\$ 13,062	\$ 12,066	\$ 11,569

A reconciliation of the Company's segment operating income to the Consolidated Statements of Operations for 2024, 2023 and 2022 is as follows (in millions):

	2024	2023	2022
Segment operating income	\$ 162,044	\$ 150,888	\$ 152,895
Research and development expense	(31,370)	(29,915)	(26,251)
Other corporate expenses, net ⁽¹⁾	(7,458)	(6,672)	(7,207)
Total operating income	\$ 123,216	\$ 114,301	\$ 119,437

(1) Includes general and administrative compensation costs, various nonrecurring charges, and other separately managed costs.

The following tables show net sales for 2024, 2023 and 2022 and long-lived assets as of September 28, 2024 and September 30, 2023 for countries that individually accounted for 10% or more of the respective totals, as well as aggregate amounts for the remaining countries (in millions):

	2024	2023	2022
Net sales:			
U.S.	\$ 142,196	\$ 138,573	\$ 147,859
China ⁽¹⁾	66,952	72,559	74,200
Other countries	181,887	172,153	172,269
Total net sales	\$ 391,035	\$ 383,285	\$ 394,328
	2024	2023	
Long-lived assets:			
U.S.	\$ 35,664	\$ 33,276	
China ⁽¹⁾	4,797	5,778	
Other countries	5,219	4,661	
Total long-lived assets	\$ 45,680	\$ 43,715	

(1) China includes Hong Kong and Taiwan.

PART IV

Item 15. Exhibit and Financial Statement Schedules

(a) Documents filed as part of this report

(1) All financial statements

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Consolidated Statements of Operations for the years ended September 28, 2024, September 30, 2023 and September 24, 2022	29
Consolidated Statements of Comprehensive Income for the years ended September 28, 2024, September 30, 2023 and September 24, 2022	30
Consolidated Balance Sheets as of September 28, 2024 and September 30, 2023	31
Consolidated Statements of Shareholders' Equity for the years ended September 28, 2024, September 30, 2023 and September 24, 2022	32
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* Ernst & Young LLP, PCAOB Firm ID No. 00042.

(2) Financial Statement Schedules

All financial statement schedules have been omitted, since the required information is not applicable or is not present in amounts sufficient to require submission of the schedule, or because the information required is included in the consolidated financial statements and accompanying notes included in this Form 10-K.

(3) Exhibits required by Item 601 of Regulation S-K ⁽¹⁾

Exhibit Number	Exhibit Description	Incorporated by Reference		
		Form	Exhibit	Filing Date/ Period End Date
3.1	Restated Articles of Incorporation of the Registrant filed on August 3, 2020.	8-K	3.1	8/7/20
3.2	Amended and Restated Bylaws of the Registrant effective as of August 20, 2024.	8-K	3.2	8/23/24
4.1**	Description of Securities of the Registrant.			
4.2	Indenture, dated as of April 29, 2013, between the Registrant and The Bank of New York Mellon Trust Company, N.A., as Trustee.	S-3	4.1	4/29/13
4.3	Officer's Certificate of the Registrant, dated as of May 3, 2013, including forms of global notes representing the Floating Rate Notes due 2016, Floating Rate Notes due 2018, 0.45% Notes due 2016, 1.00% Notes due 2018, 2.40% Notes due 2023 and 3.85% Notes due 2043.	8-K	4.1	5/3/13
4.4	Officer's Certificate of the Registrant, dated as of May 6, 2014, including forms of global notes representing the Floating Rate Notes due 2017, Floating Rate Notes due 2019, 1.05% Notes due 2017, 2.10% Notes due 2019, 2.85% Notes due 2021, 3.45% Notes due 2024 and 4.45% Notes due 2044.	8-K	4.1	5/6/14
4.5	Officer's Certificate of the Registrant, dated as of November 10, 2014, including forms of global notes representing the 1.000% Notes due 2022 and 1.625% Notes due 2026.	8-K	4.1	11/10/14
4.6	Officer's Certificate of the Registrant, dated as of February 9, 2015, including forms of global notes representing the Floating Rate Notes due 2020, 1.55% Notes due 2020, 2.15% Notes due 2022, 2.50% Notes due 2025 and 3.45% Notes due 2045.	8-K	4.1	2/9/15
4.7	Officer's Certificate of the Registrant, dated as of May 13, 2015, including forms of global notes representing the Floating Rate Notes due 2017, Floating Rate Notes due 2020, 0.900% Notes due 2017, 2.000% Notes due 2020, 2.700% Notes due 2022, 3.200% Notes due 2025, and 4.375% Notes due 2045.	8-K	4.1	5/13/15
4.8	Officer's Certificate of the Registrant, dated as of July 31, 2015, including forms of global notes representing the 3.05% Notes due 2029 and 3.60% Notes due 2042.	8-K	4.1	7/31/15
4.9	Officer's Certificate of the Registrant, dated as of September 17, 2015, including forms of global notes representing the 1.375% Notes due 2024 and 2.000% Notes due 2027.	8-K	4.1	9/17/15

Exhibit Number	Exhibit Description	Incorporated by Reference		
		Form	Exhibit	Filing Date/ Period End Date
4.10	Officer's Certificate of the Registrant, dated as of February 23, 2016, including forms of global notes representing the Floating Rate Notes due 2019, Floating Rate Notes due 2021, 1.300% Notes due 2018, 1.700% Notes due 2019, 2.250% Notes due 2021, 2.850% Notes due 2023, 3.250% Notes due 2026, 4.500% Notes due 2036 and 4.650% Notes due 2046.	8-K	4.1	2/23/16
4.11	Supplement No. 1 to the Officer's Certificate of the Registrant, dated as of March 24, 2016.	8-K	4.1	3/24/16
4.12	Officer's Certificate of the Registrant, dated as of August 4, 2016, including forms of global notes representing the Floating Rate Notes due 2019, 1.100% Notes due 2019, 1.550% Notes due 2021, 2.450% Notes due 2026 and 3.850% Notes due 2046.	8-K	4.1	8/4/16
4.13	Officer's Certificate of the Registrant, dated as of February 9, 2017, including forms of global notes representing the Floating Rate Notes due 2019, Floating Rate Notes due 2020, Floating Rate Notes due 2022, 1.550% Notes due 2019, 1.900% Notes due 2020, 2.500% Notes due 2022, 3.000% Notes due 2024, 3.350% Notes due 2027 and 4.250% Notes due 2047.	8-K	4.1	2/9/17
4.14	Officer's Certificate of the Registrant, dated as of May 11, 2017, including forms of global notes representing the Floating Rate Notes due 2020, Floating Rate Notes due 2022, 1.800% Notes due 2020, 2.300% Notes due 2022, 2.850% Notes due 2024 and 3.200% Notes due 2027.	8-K	4.1	5/11/17
4.15	Officer's Certificate of the Registrant, dated as of May 24, 2017, including forms of global notes representing the 0.875% Notes due 2025 and 1.375% Notes due 2029.	8-K	4.1	5/24/17
4.16	Officer's Certificate of the Registrant, dated as of June 20, 2017, including form of global note representing the 3.000% Notes due 2027.	8-K	4.1	6/20/17
4.17	Officer's Certificate of the Registrant, dated as of September 12, 2017, including forms of global notes representing the 1.500% Notes due 2019, 2.100% Notes due 2022, 2.900% Notes due 2027 and 3.750% Notes due 2047.	8-K	4.1	9/12/17
4.18	Officer's Certificate of the Registrant, dated as of November 13, 2017, including forms of global notes representing the 1.800% Notes due 2019, 2.000% Notes due 2020, 2.400% Notes due 2023, 2.750% Notes due 2025, 3.000% Notes due 2027 and 3.750% Notes due 2047.	8-K	4.1	11/13/17
4.19	Indenture, dated as of November 5, 2018, between the Registrant and The Bank of New York Mellon Trust Company, N.A., as Trustee.	S-3	4.1	11/5/18
4.20	Officer's Certificate of the Registrant, dated as of September 11, 2019, including forms of global notes representing the 1.700% Notes due 2022, 1.800% Notes due 2024, 2.050% Notes due 2026, 2.200% Notes due 2029 and 2.950% Notes due 2049.	8-K	4.1	9/11/19
4.21	Officer's Certificate of the Registrant, dated as of November 15, 2019, including forms of global notes representing the 0.000% Notes due 2025 and 0.500% Notes due 2031.	8-K	4.1	11/15/19
4.22	Officer's Certificate of the Registrant, dated as of May 11, 2020, including forms of global notes representing the 0.750% Notes due 2023, 1.125% Notes due 2025, 1.650% Notes due 2030 and 2.650% Notes due 2050.	8-K	4.1	5/11/20
4.23	Officer's Certificate of the Registrant, dated as of August 20, 2020, including forms of global notes representing the 0.550% Notes due 2025, 1.25% Notes due 2030, 2.400% Notes due 2050 and 2.550% Notes due 2060.	8-K	4.1	8/20/20
4.24	Officer's Certificate of the Registrant, dated as of February 8, 2021, including forms of global notes representing the 0.700% Notes due 2026, 1.200% Notes due 2028, 1.650% Notes due 2031, 2.375% Notes due 2041, 2.650% Notes due 2051 and 2.800% Notes due 2061.	8-K	4.1	2/8/21
4.25	Officer's Certificate of the Registrant, dated as of August 5, 2021, including forms of global notes representing the 1.400% Notes due 2028, 1.700% Notes due 2031, 2.700% Notes due 2051 and 2.850% Notes due 2061.	8-K	4.1	8/5/21
4.26	Indenture, dated as of October 28, 2021, between the Registrant and The Bank of New York Mellon Trust Company, N.A., as Trustee.	S-3	4.1	10/29/21
4.27	Officer's Certificate of the Registrant, dated as of August 8, 2022, including forms of global notes representing the 3.250% Notes due 2029, 3.350% Notes due 2032, 3.950% Notes due 2052 and 4.100% Notes due 2062.	8-K	4.1	8/8/22

Exhibit Number	Exhibit Description	Incorporated by Reference		
		Form	Exhibit	Filing Date/ Period End Date
4.28	Officer's Certificate of the Registrant, dated as of May 10, 2023, including forms of global notes representing the 4.421% Notes due 2026, 4.000% Notes due 2028, 4.150% Notes due 2030, 4.300% Notes due 2033 and 4.850% Notes due 2053.	8-K	4.1	5/10/23
4.29*	Apple Inc. Deferred Compensation Plan.	S-8	4.1	8/23/18
10.1*	Apple Inc. Employee Stock Purchase Plan, as amended and restated as of March 10, 2015.	8-K	10.1	3/13/15
10.2*	Form of Indemnification Agreement between the Registrant and each director and executive officer of the Registrant.	10-Q	10.2	6/27/09
10.3*	Apple Inc. Non-Employee Director Stock Plan, as amended November 9, 2021.	10-Q	10.1	12/25/21
10.4*	Apple Inc. 2014 Employee Stock Plan, as amended and restated as of October 1, 2017.	10-K	10.8	9/30/17
10.5*	Form of Restricted Stock Unit Award Agreement under 2014 Employee Stock Plan effective as of September 26, 2017.	10-K	10.20	9/30/17
10.6*	Form of Restricted Stock Unit Award Agreement under Non-Employee Director Stock Plan effective as of February 13, 2018.	10-Q	10.2	3/31/18
10.7*	Form of Restricted Stock Unit Award Agreement under 2014 Employee Stock Plan effective as of August 21, 2018.	10-K	10.17	9/29/18
10.8*	Form of Restricted Stock Unit Award Agreement under 2014 Employee Stock Plan effective as of September 29, 2019.	10-K	10.15	9/28/19
10.9*	Form of Restricted Stock Unit Award Agreement under 2014 Employee Stock Plan effective as of August 18, 2020.	10-K	10.16	9/26/20
10.10*	Form of Performance Award Agreement under 2014 Employee Stock Plan effective as of August 18, 2020.	10-K	10.17	9/26/20
10.11*	Form of CEO Restricted Stock Unit Award Agreement under 2014 Employee Stock Plan effective as of September 27, 2020.	10-Q	10.1	12/26/20
10.12*	Form of CEO Performance Award Agreement under 2014 Employee Stock Plan effective as of September 27, 2020.	10-Q	10.2	12/26/20
10.13*	Apple Inc. 2022 Employee Stock Plan.	8-K	10.1	3/4/22
10.14*	Form of Restricted Stock Unit Award Agreement under 2022 Employee Stock Plan effective as of March 4, 2022.	8-K	10.2	3/4/22
10.15*	Form of Performance Award Agreement under 2022 Employee Stock Plan effective as of March 4, 2022.	8-K	10.3	3/4/22
10.16*	Apple Inc. Executive Cash Incentive Plan.	8-K	10.1	8/19/22
10.17*	Form of CEO Restricted Stock Unit Award Agreement under 2022 Employee Stock Plan effective as of September 25, 2022.	10-Q	10.1	12/31/22
10.18*	Form of CEO Performance Award Agreement under 2022 Employee Stock Plan effective as of September 25, 2022.	10-Q	10.2	12/31/22
10.19*, **	Form of Restricted Stock Unit Award Agreement under 2022 Employee Stock Plan effective as of September 29, 2024.			
10.20*, **	Form of Performance Award Agreement under 2022 Employee Stock Plan effective as of September 29, 2024.			
10.21*, **	Form of CEO Restricted Stock Unit Award Agreement under 2022 Employee Stock Plan effective as of September 29, 2024.			
10.22*, **	Form of CEO Performance Award Agreement under 2022 Employee Stock Plan effective as of September 29, 2024.			
19.1**	Insider Trading Policy			
21.1**	Subsidiaries of the Registrant.			
23.1**	Consent of Independent Registered Public Accounting Firm.			
24.1**	Power of Attorney (included on the Signatures page of this Annual Report on Form 10-K).			
31.1**	Rule 13a-14(a) / 15d-14(a) Certification of Chief Executive Officer.			
31.2**	Rule 13a-14(a) / 15d-14(a) Certification of Chief Financial Officer.			
32.1***	Section 1350 Certifications of Chief Executive Officer and Chief Financial Officer.			
97.1*, **	Rule 10D-1 Recovery Policy.			

Exhibit Number	Exhibit Description	Incorporated by Reference		
		Form	Exhibit	Filing Date/ Period End Date
101**	Inline XBRL Document Set for the consolidated financial statements and accompanying notes in Part II, Item 8, "Financial Statements and Supplementary Data" of this Annual Report on Form 10-K.			
104**	Inline XBRL for the cover page of this Annual Report on Form 10-K, included in the Exhibit 101 Inline XBRL Document Set.			

* Indicates management contract or compensatory plan or arrangement.

** Filed herewith.

*** Furnished herewith.

(1) Certain instruments defining the rights of holders of long-term debt securities of the Registrant are omitted pursuant to Item 601(b)(4)(iii) of Regulation S-K. The Registrant hereby undertakes to furnish to the SEC, upon request, copies of any such instruments.

Item 16. Form 10-K Summary

None.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

Date: November 1, 2024

Apple Inc.

By: /s/ Luca Maestri
Luca Maestri
Senior Vice President,
Chief Financial Officer

Power of Attorney

KNOW ALL PERSONS BY THESE PRESENTS, that each person whose signature appears below constitutes and appoints Timothy D. Cook and Luca Maestri, jointly and severally, his or her attorneys-in-fact, each with the power of substitution, for him or her in any and all capacities, to sign any amendments to this Annual Report on Form 10-K, and to file the same, with exhibits thereto and other documents in connection therewith, with the Securities and Exchange Commission, hereby ratifying and confirming all that each of said attorneys-in-fact, or his substitute or substitutes, may do or cause to be done by virtue hereof.

Pursuant to the requirements of the Securities Exchange Act of 1934, this report has been signed below by the following persons on behalf of the Registrant and in the capacities and on the dates indicated:

Name	Title	Date
<u>/s/ Timothy D. Cook</u> TIMOTHY D. COOK	Chief Executive Officer and Director (Principal Executive Officer)	November 1, 2024
<u>/s/ Luca Maestri</u> LUCA MAESTRI	Senior Vice President, Chief Financial Officer (Principal Financial Officer)	November 1, 2024
<u>/s/ Chris Kondo</u> CHRIS KONDO	Senior Director of Corporate Accounting (Principal Accounting Officer)	November 1, 2024
<u>/s/ Wanda Austin</u> WANDA AUSTIN	Director	November 1, 2024
<u>/s/ Alex Gorsky</u> ALEX GORSKY	Director	November 1, 2024
<u>/s/ Andrea Jung</u> ANDREA JUNG	Director	November 1, 2024
<u>/s/ Arthur D. Levinson</u> ARTHUR D. LEVINSON	Director and Chair of the Board	November 1, 2024
<u>/s/ Monica Lozano</u> MONICA LOZANO	Director	November 1, 2024
<u>/s/ Ronald D. Sugar</u> RONALD D. SUGAR	Director	November 1, 2024
<u>/s/ Susan L. Wagner</u> SUSAN L. WAGNER	Director	November 1, 2024